

The COI Problem: IUL vs Buy Term + Invest the Difference

What does the insurance cost actually cost you? | \$5M policy | Age 43 | 3 historical windows

What the IUL charges you (Cost of Insurance + Admin)

Year 1 annual charge:	\$46,000
Year 10 annual charge:	\$89,857
Year 19 annual charge:	\$92,334
Average annual charge (19 yrs):	\$68,041
Total charges over 19 years:	\$1,292,781
20-yr term \$5M, female 43, preferred:	~\$5,000/yr
IUL charges are:	14–18× more expensive than term insurance

1. WHAT THE IUL CHARGES YOU EVERY YEAR (Derived from illustration)

Policy Year	Policy Age	No-Charge Value (7.19%)	Actual IUL Value	Annual Charge	Term Insurance Equivalent	Charge vs Term (x)
1	44	\$285,849	\$239,849	\$46,000	\$5,000	9×
2	45	\$592,250	\$496,596	\$49,654	\$5,000	10×
3	46	\$920,682	\$771,415	\$53,613	\$5,000	11×
4	47	\$1,272,728	\$1,065,836	\$57,625	\$5,000	12×
5	48	\$1,650,086	\$1,381,029	\$62,165	\$5,000	12×
6	49	\$2,054,576	\$1,718,601	\$66,918	\$5,000	13×
7	50	\$2,488,149	\$2,080,208	\$71,966	\$5,000	14×
8	51	\$2,952,896	\$2,467,647	\$77,308	\$5,000	15×
9	52	\$3,451,058	\$2,882,510	\$83,299	\$5,000	17×
10	53	\$3,985,038	\$3,326,633	\$89,857	\$5,000	18×
11	54	\$4,271,563	\$3,561,628	\$51,529	\$5,000	10×
12	55	\$4,578,688	\$3,813,236	\$55,517	\$5,000	11×
13	56	\$4,907,896	\$4,082,561	\$59,883	\$5,000	12×
14	57	\$5,260,773	\$4,371,091	\$64,348	\$5,000	13×
15	58	\$5,639,023	\$4,680,134	\$69,207	\$5,000	14×
16	59	\$6,044,469	\$5,010,760	\$74,820	\$5,000	15×
17	60	\$6,479,066	\$5,364,903	\$80,454	\$5,000	16×
18	61	\$6,944,911	\$5,744,464	\$86,284	\$5,000	17×
19	62	\$7,444,250	\$6,151,469	\$92,334	\$5,000	18×
TOTAL				\$1,292,781	\$95,000	14×

2. BUY TERM + INVEST THE DIFFERENCE (BTID) — YEAR-BY-YEAR

Strategy: Buy a \$5M 20-year term policy for ~\$5,000/yr. Take the difference between IUL charges and term cost (\$41k–\$87k/yr) and invest it directly in the S&P; 500. No caps. No floors. No policy charges. After 19 years, compare to what the IUL net cash value would be.

Scenario	Years	Charges Saved (19yr)	BTID Value @ Year 20	IUL Net @ Year 20	BTID Wins By	BTID Value @ Year 25	IUL Net @ Year 25	BTID Wins By
SCENARIO A	2005–2024	\$1,197,781	\$3,201,663	\$1,348,332	\$1,853,331	\$4,560,002	\$1,288,841	\$3,271,161
SCENARIO B	2003–2022	\$1,197,781	\$3,665,890	\$1,348,332	\$2,317,558	\$6,943,172	\$1,288,841	\$5,654,331
SCENARIO C	2000–2019	\$1,197,781	\$2,155,680	\$1,348,332	\$807,348	\$3,924,518	\$1,288,841	\$2,635,677

3. BTID YEAR-BY-YEAR DETAIL: Scenario A (2005–2024)

Yr	Age	Cal	S&P; Return	IUL Charge	Term Cost	Saved to SPY	SPY Portfolio	IUL Value (same yr)
1	44	2005	3.0%	\$46,000	\$5,000	\$41,000	\$42,230	\$239,849
2	45	2006	13.6%	\$49,654	\$5,000	\$44,654	\$98,718	\$496,596
3	46	2007	3.5%	\$53,613	\$5,000	\$48,613	\$152,531	\$771,415
4	47	2008	-38.5%	\$57,625	\$5,000	\$52,625	\$126,192	\$1,065,836
5	48	2009	23.4%	\$62,165	\$5,000	\$57,165	\$226,354	\$1,381,029
6	49	2010	12.8%	\$66,918	\$5,000	\$61,918	\$325,113	\$1,718,601
7	50	2011	0.0%	\$71,966	\$5,000	\$66,966	\$392,079	\$2,080,208
8	51	2012	13.4%	\$77,308	\$5,000	\$72,308	\$526,661	\$2,467,647
9	52	2013	29.6%	\$83,299	\$5,000	\$78,299	\$784,028	\$2,882,510
10	53	2014	11.4%	\$89,857	\$5,000	\$84,857	\$967,852	\$3,326,633
11	54	2015	-0.7%	\$51,529	\$5,000	\$46,529	\$1,006,976	\$3,561,628
12	55	2016	9.5%	\$55,517	\$5,000	\$50,517	\$1,158,377	\$3,813,236
13	56	2017	19.4%	\$59,883	\$5,000	\$54,883	\$1,448,876	\$4,082,561
14	57	2018	-6.2%	\$64,348	\$5,000	\$59,348	\$1,414,110	\$4,371,091
15	58	2019	28.9%	\$69,207	\$5,000	\$64,207	\$1,905,255	\$4,680,134
16	59	2020	16.3%	\$74,820	\$5,000	\$69,820	\$2,296,223	\$5,010,760
17	60	2021	26.9%	\$80,454	\$5,000	\$75,454	\$3,009,421	\$5,364,903
18	61	2022	-19.4%	\$86,284	\$5,000	\$81,284	\$2,489,872	\$5,744,464
19	62	2023	24.2%	\$92,334	\$5,000	\$87,334	\$3,201,663	\$6,151,469

4. WHAT THE IUL BUYS YOU WITH THAT EXTRA COST

—	Cost of IUL (what you pay extra) \$1.29M in charges over 19 years vs \$95k in term premiums — difference: \$1.19M <i>This is the real price of the IUL features</i>
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■	What the 0% floor costs you In 2008 (-38.5%), BTID portfolio dropped ~38%. IUL held flat. Floor saved roughly \$500k-\$800k in that one year alone in the best-case scenario. <i>The floor has real dollar value in crash years</i>
—	What the cap costs you In strong years (2013: +29.6%, 2019: +28.9%, 2021: +26.9%), BTID captures full gain. IUL capped at 13.5%. You leave \$15-17% on the table each big year. <i>Cap costs you in bull markets — 9 out of 20 years hit the cap</i>
+	Tax-free income after Year 20 IUL distributions are policy loans — no tax ever. BTID portfolio sells shares — capital gains tax on every withdrawal. Rough cost: 20% of gains. <i>Worth roughly \$200k-\$500k in tax savings over the distribution years</i>
+	Death benefit BTID: \$5M term for 20 years only, then expires. IUL: \$5M+ permanent, grows to \$8-12M+ by age 80, passes to heirs tax-free forever. <i>Permanent growing death benefit has significant estate planning value</i>
■	Loan collateral safety BTID: In 2008 your SPY portfolio is DOWN 38.5% while loan is UP — lender could demand collateral when you least want to provide it. IUL: 0% floor means collateral never goes underwater from market losses. <i>Critical risk difference in premium financing context</i>

BOTTOM LINE — You are completely right: the IUL charges ~\$68k/yr on average vs ~\$5k/yr for term insurance. If you just invested that \$63k/yr savings into SPY instead, you would have \$2.2M–\$6.9M more at Year 25 than the IUL net cash value. The COI is the real cost of three specific things: (1) permanent growing death benefit instead of 20-yr term, (2) the 0% floor protecting your collateral from ever going negative in crashes, and (3) tax-free income for life instead of taxable withdrawals. If those three things matter to you — the cost is justified. If you only need 20-year protection and are comfortable with market volatility — Buy Term + Invest is the financially superior strategy.

Annual charges derived from comparing no-charge policy simulation at 7.19% vs actual illustrated values. Term insurance cost estimate for female age 43 preferred non-tobacco. SPY returns from public historical data. Not financial or tax advice.